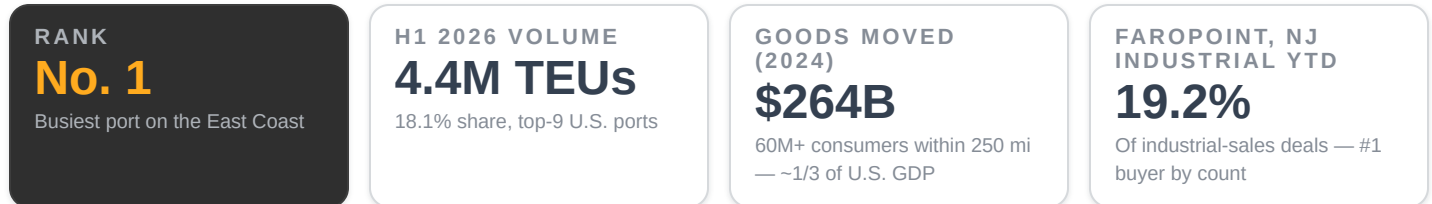


Case study | Port-driven demand and the NNJ shallow-bay market

How the Port of NY/NJ's throughput becomes granular, diversified shallow-bay demand in Northern New Jersey — and why Faropoint's acquisition platform is built around capturing it.



The port backdrop

The Port of NY/NJ ranked as the third-busiest U.S. port at mid-year 2026, handling 4.4M TEUs in H1 — good for an 18.1% share of volume among the top nine reporting ports. Loaded import volume reached 2.2M TEUs. The port moved \$264B in goods in 2024 and provides access to more than 60 million consumers within a 250-mile radius, roughly one-third of the nation's GDP. Rail cargo totaled 341,671 containers in H1 2026 — meaningful, but still a minority share against truck-dependent flows. As trucking rates continue to rise, occupiers are increasingly prioritizing locations closer to the port to reduce drayage costs — a trend the Port Authority is reinforcing through infrastructure investment, including a landmark agreement to evaluate deepening navigational channels to 55 feet and a major redevelopment of the Newark-Elizabeth port complex's northern entrance.

Why this matters for NNJ specifically

Northern New Jersey sits directly in that truck-served radius — the closest, most built-out industrial geography to the port complex on the New Jersey side. The Port Region submarket itself is the largest in Northern NJ, with 84.1 million square feet of warehouse inventory. That proximity is precisely why NNJ carries some of the highest real estate and labor costs in the country: it's the price of access to the East Coast's leading container gateway.

More than distribution: what shallow bay actually houses

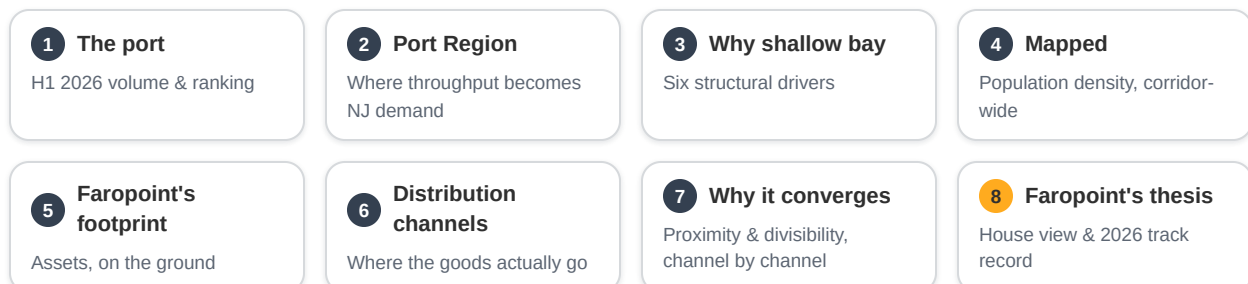
Import volume doesn't just create demand for warehousing — it seeds an entire ecosystem of businesses that need small-bay space to operate. Shallow-bay buildings in NNJ house last-mile distribution, light manufacturing and assembly, contractor and trade businesses (electrical, plumbing, HVAC, millwork), showroom and wholesale operations, food and beverage prep and distribution, e-commerce fulfillment and returns processing, and import-adjacent light assembly (kitting, packaging, light customization of goods landing at the port). These tenants are typically smaller local and regional operators, not national logistics users — part of why shallow-bay leasing is granular, relationship-driven, and less correlated to any single tenant's fortunes than large-format bulk space.

Where Faropoint fits

This is the exact dynamic Faropoint's NNJ platform is built around: high-frequency acquisition of infill, supply-constrained shallow-bay assets serving this diversified tenant base — not large-format bulk product built for a handful of logistics users. Faropoint is the No. 1 buyer in NJ's industrial market by deal count YTD 2026 — 5 deals, 9.8% of all tracked NJ industrial, land and IOS deals, widening to 19.2% when narrowed to industrial-sales transactions specifically. That deal flow gives the platform outsized, and growing, visibility into the off-market, relationship-driven activity this thesis depends on.

The takeaway for LPs. The story isn't "industrial is a good asset class," and it isn't just "distribution near ports is good." It's that port throughput seeds demand across a wide range of light-industrial, trade, and distribution users, all competing for the same scarce shallow-bay stock — in a market where rents keep climbing even as some new supply comes online. Faropoint's leading share of NJ deal volume shows the platform capturing that demand deal by deal, and its diversified tenant exposure means its fortunes aren't tied to any single tenant type or industry cycle.

WHAT FOLLOWS



Port of NY/NJ | Why it matters to New Jersey and the region

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — and its throughput is the demand engine behind New Jersey's industrial market broadly, before shallow bay even enters the picture.

RANK

No. 1

Busiest port on the East Coast

H1 2026 TOTAL VOLUME

4.4M TEUs

— +0.2% YoY · No. 3 nationally

Full-year 2025: 8.9M TEUs (+2.3% YoY)

GOODS MOVED (2024)

\$264B

Value of cargo through the port

RAIL CARGO, H1 2026

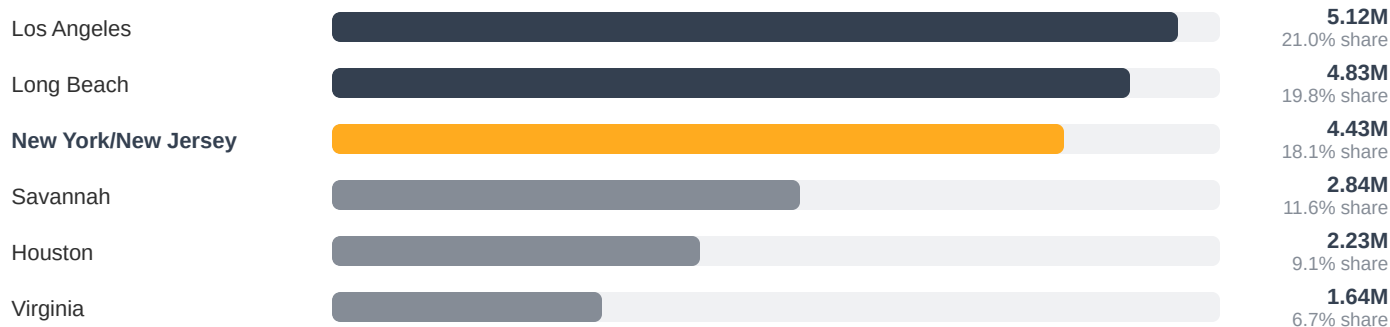
341,671

Full-year 2025: 718,942 (+12.4% YoY)

A top-3 gateway, gaining loaded import share

Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.

H1 2026 total container volume by port



Legend: ■ Port of NY/NJ ■ West Coast gateways ■ Other East/Gulf Coast ports

Top 9 U.S. ports, H1 2026 vs. H1 2025

PORT	TOTAL TEUS	YOY	LOADED IMPORTS	YOY	SHARE
Los Angeles	5,122,603	+3.4%	2,675,892	+5.0%	21.0%
Long Beach	4,829,578	+1.7%	2,347,999	+2.6%	19.8%
New York/New Jersey	4,427,159	+0.2%	2,229,447	-0.2%	18.1%
Savannah	2,837,324	-0.8%	1,420,121	+2.1%	11.6%
Houston	2,229,473	+2.8%	1,029,667	+6.8%	9.1%
Virginia	1,636,588	-0.3%	797,610	+5.6%	6.7%
Charleston	1,185,901	-9.5%	577,901	-8.8%	4.9%
Oakland	1,114,666	-2.5%	473,864	-1.0%	4.6%
Seattle Tacoma	1,066,862	-15.6%	520,095	-13.9%	4.4%

Momentum check: full-year 2025 → H1 2026

Total volume — FY2025 8.9M TEUs (+2.3% YoY) → H1 2026 4.4M TEUs (+0.2% YoY)

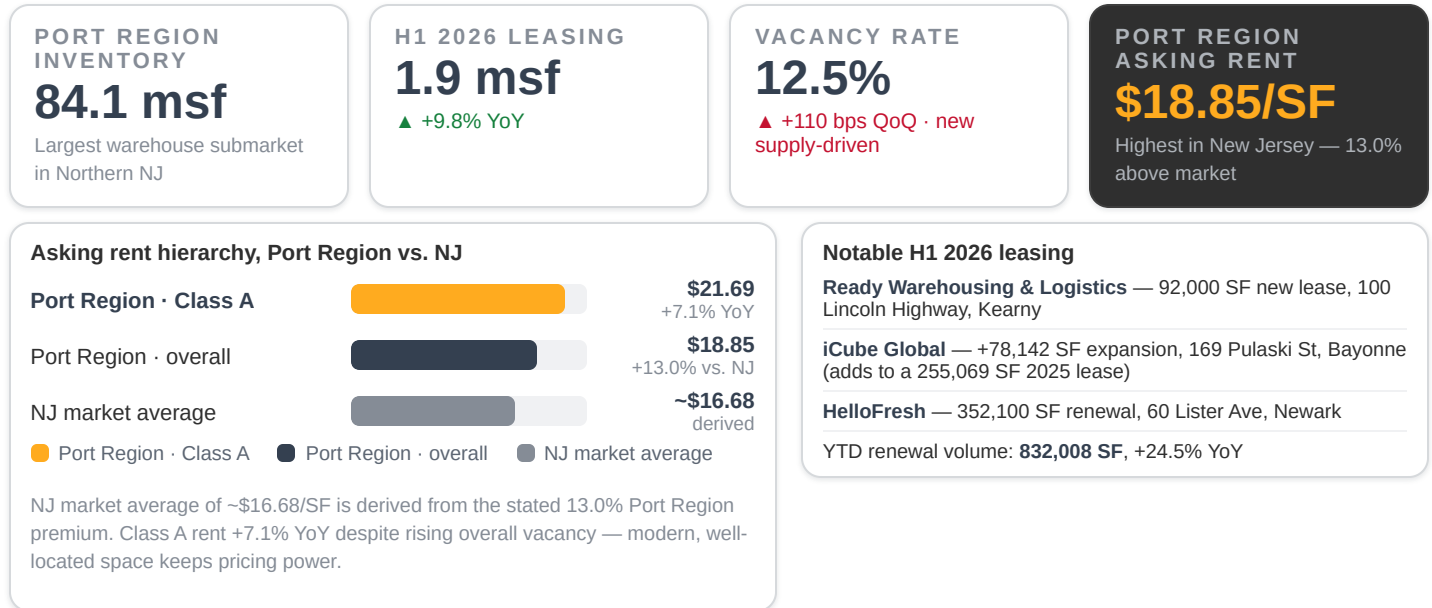
Rail cargo — FY2025 718,942 containers (+12.4% YoY) → H1 2026 341,671 containers

Port Region vacancy — FY2025 11.4% (+20 bps QoQ) → H1 2026 12.5% (+110 bps QoQ)

Deceleration, not demand loss. Container growth cooled from +2.3% (FY2025) to +0.2% (H1 2026) after 2025's tariff-driven front-loading pulled volume forward — rail cargo and Port Region leasing stayed strong, and the port still anchors 60M+ consumers within 250 miles, roughly one-third of U.S. GDP.

Port Region | How port volume becomes New Jersey industrial demand

The Port Region is the largest industrial submarket in Northern New Jersey — the clearest regional evidence of how the port's throughput converts directly into real estate demand.



THE PIVOT

Vacancy is up. Demand isn't down.

Port Region vacancy rose 110 bps this quarter — that's a big-box supply story (nearly 1.0 msf of new large-format vacant space), not a demand story: leasing is still up 9.8% YoY, and Class A rent is up 7.1%.

The following pages show why shallow bay specifically is structurally insulated from that supply wave, where that shows up on the ground, and how Faropoint's own house view and 2026 acquisition record underwrite the difference.

Why shallow bay | The structural case — and where it shows up regionally

Port proximity is one input, not the whole case. Six structural drivers explain why shallow bay specifically captures a disproportionate share of port-driven demand, regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Under-construction inventory is ~4x higher in big box (2.6% of stock) than last-mile (0.6%) — zoning and land cost structurally cap new shallow-bay supply (Faropoint Research).

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents — and yields — mark to market faster

Shorter lease terms let owners reprice more often; the same dynamic shows in cap rates — urban logistics (20–100K SF) trades ~70 bps wide of big box (Faropoint Research).

5 Fragmented ownership, our entry point

79% of the 20–100K SF universe (\$1.1T sector, avg. asset value \$5M) is privately owned — a durable, largely un-institutionalized acquisition pipeline (Faropoint Research).

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

THE PATTERN, GEOGRAPHICALLY

Six drivers. One corridor.

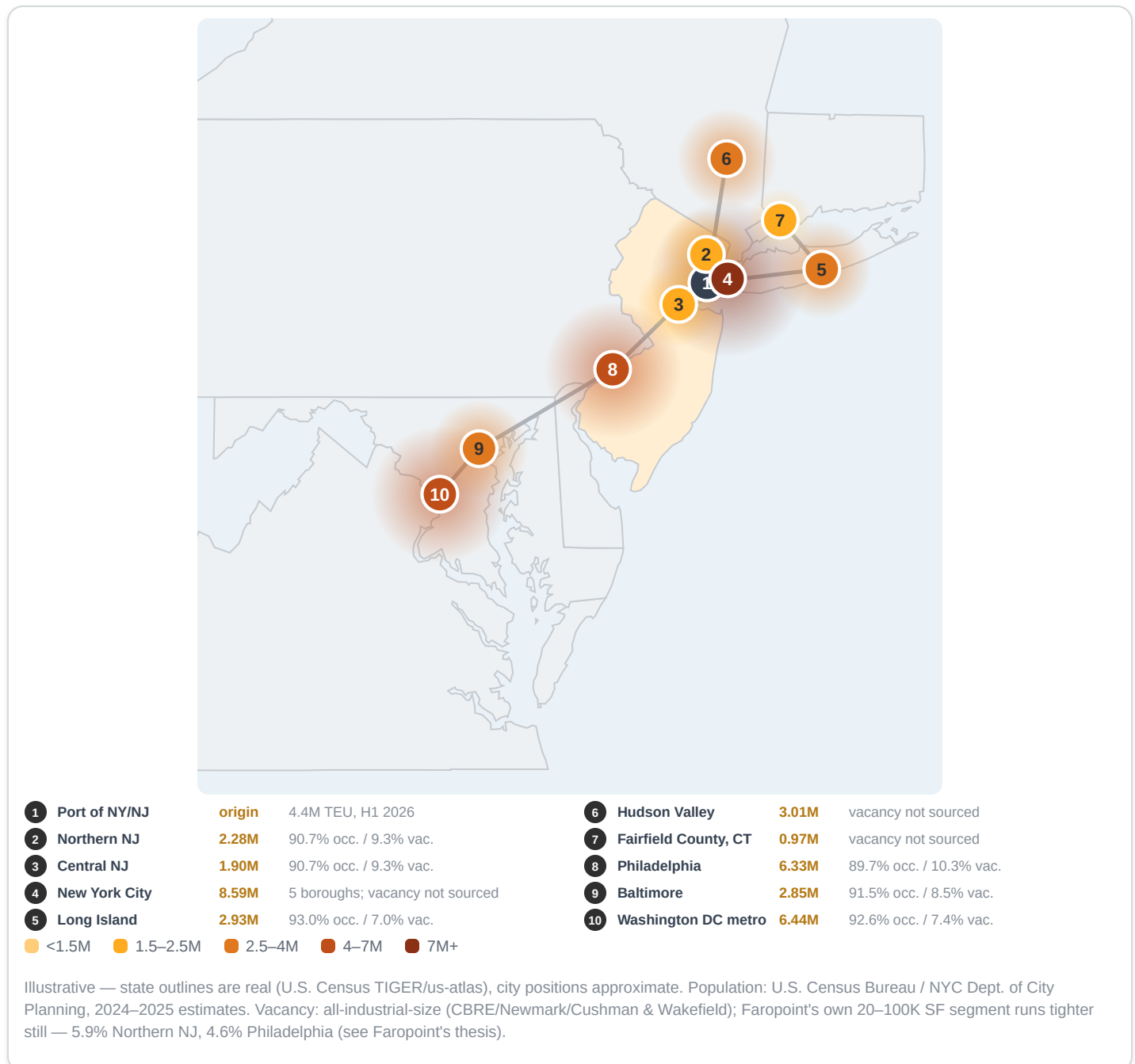
Every driver above is a national argument for the format — but it plays out locally, tied to where people actually live and where port volume actually lands. The next page maps that demand across the corridor, from Washington DC to the Hudson Valley.

Why shallow bay | Mapped across the corridor

The same six drivers show up geographically — population density is the demand behind the format, from Washington DC to the Hudson Valley.

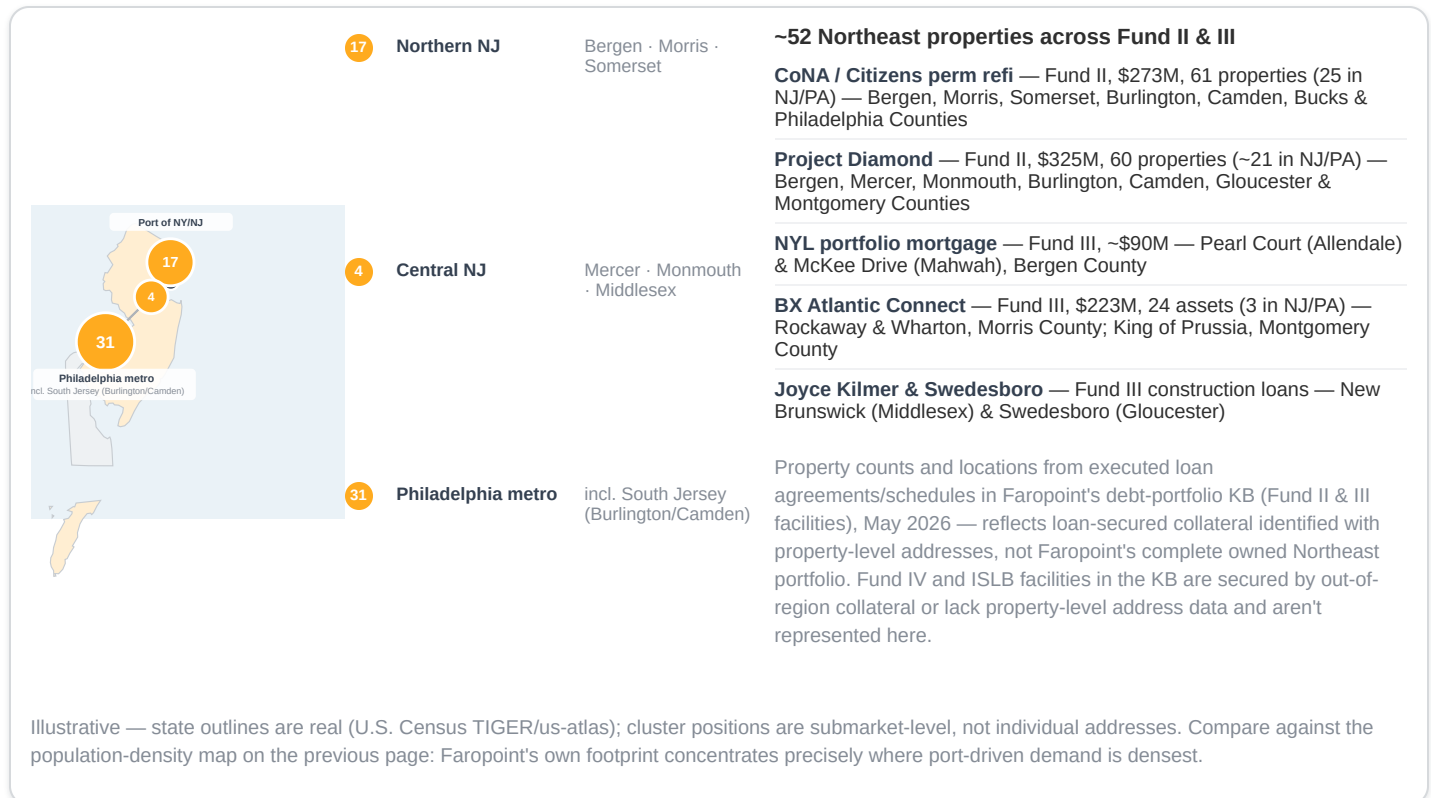
The corridor, mapped: population density and port flow

Real state geography, Long Island through Washington DC. Circle size and color both track total population — darker red reads as more people. Geography and tightness don't move together: Long Island and DC, at opposite ends of the map, run the tightest vacancy.



Faropoint's footprint | Where the Northeast platform actually sits

The same corridor from the population-density map — but here it's Faropoint's own debt-financed properties, not market demand, doing the pinning.



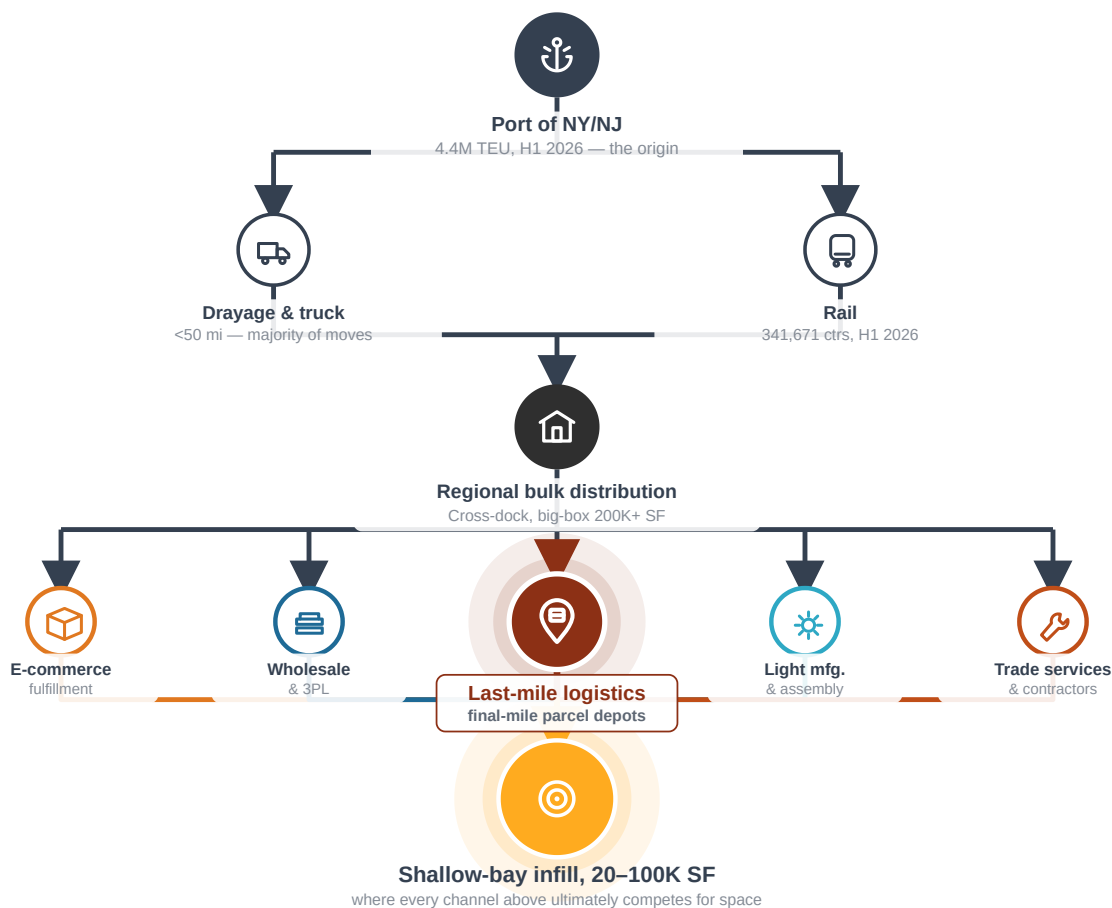
THE PLATFORM, DEPLOYED

Not a thesis on paper. **A portfolio on the ground.**

These are financed, in-place assets — not a pipeline. The concentration in Northern NJ and the Philadelphia/South Jersey corridor is the same geography the port and population maps already pointed to, underwritten with Faropoint's own capital across three funds.

Distribution channels | How goods reach their end use, regionally

Port volume doesn't arrive at one destination — it splits by mode, moves through bulk distribution, then fans out to five distinct end-use channels that all compete for the same shallow-bay space.



Illustrative framework, not deal-level flow data — reflects typical last-mile distribution patterns for port-driven regional demand. Last-mile logistics is broken out as its own channel given the tour stop in the Meadowlands submarket — among the closest shallow-bay geographies to Manhattan and a prime final-mile location. Rail figure: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.

The common denominator. A parcel fulfillment center, a 3PL cross-dock, a final-mile delivery depot, a light assembly shop and an HVAC contractor's yard look nothing alike on paper — but all five need small, well-located, divisible space near the population they serve. That's the demand base underneath every shallow-bay acquisition.

UNDERWRITING THE FLOW

Five channels. One thesis.

Faropoint doesn't underwrite a single tenant type — it underwrites the infill format every channel above ultimately needs. The final page shows how that shows up in Faropoint's own house view and 2026 acquisition record.

Distribution channels | Why every channel converges on shallow bay

None of the five channels on the previous page are actually competing on volume — they're competing on proximity and divisibility, and 20–100K SF is the format that satisfies both.

● E-commerce fulfillment

Large-scale primary fulfillment does sit in big-box, but returns processing, regional sortation, and the long tail of smaller/niche sellers don't generate enough volume to fill 200K+ SF — and same-day/next-day promises push them toward space near the population they're shipping to, not toward the cheapest big parcel two hours away.

● Wholesale & 3PL

Regional 3PLs serve a defined local client base and territory. Their footprint scales with that territory's demand, not with national throughput — so they need space sized to a region, not a continent, and they need it divisible so it can flex up or down as clients turn over.

● Last-mile logistics

This one is definitional: last-mile economics are won by minimizing drive time to the end customer, which means many small nodes near dense population beats one large node far away. A single 500K SF facility in Meadowlands wouldn't out-perform five 60K SF depots spread across it — density of locations matters more than size of any one location.

● Light manufacturing & assembly

Kitting, packaging, light assembly of import components — these are small production operations, not heavy industry. They need modest space for a production line plus staging, want to be near their labor pool and near the port/rail input they're processing, and simply don't have the throughput to justify bulk-scale space.

● Trade services & contractors

HVAC, plumbing, electrical, millwork. These are local service businesses by nature — they need a yard/warehouse to stage materials and park trucks in each market they serve, not one central depot. Real estate need is capped by "how much can one crew's territory support," which is small.

The structural reason

It isn't just that these tenants *want* to be small — the supply of anything bigger is structurally rationed in these infill submarkets. Under-construction inventory runs ~4x higher for big-box (2.6% of stock) than for shallow bay (0.6%) because land cost and zoning cap new small-format supply near dense population.

Scarce land, shared appetite. Five very different tenant types — none of them competing with each other directly — end up bidding for the same limited shallow-bay stock. That's the common denominator from the previous page, and the reason the diagram converges all five into one hero node instead of five separate outcomes.

VOLUME VS. PROXIMITY

Not who moves the most. **Who has to be closest.**

Scarce, divisible, well-located space beats a bigger box every time for these five tenant types — which is exactly the corridor Faropoint underwrites. The final page turns that logic into Faropoint's own house view and 2026 acquisition record.

Faropoint's thesis | Underwriting the corridor

Two Northeast/Mid-Atlantic markets, two different reasons for conviction — and a 2026 track record of acting on it.

The house view: Northern New Jersey

Faropoint's research team rates Northern New Jersey **Over-weight** among Gateway markets — near-term rent softness more than compensated by the widest Treasury spread in the set.

Northern New Jersey · Gateway market

OVER-WEIGHT

\$1.57B

FarOS H1 2026 volume seen, 141 deals (-4.7% QoQ)

6.3% / 7.2%

In-place / untrended cap rate, 20–100K SF

+185 bps

Treasury spread — widest of Faropoint's three Gateway markets

5.9%

Vacancy, 20–100K SF (+23 bps QoQ)

-2.3%

LTM rent growth — the near-term softness being priced

+2.62%

Expected 2-yr rent growth (2026–27) — the recovery being underwritten

"FarOS volume seen" reflects deal flow tracked by Faropoint's sourcing platform across the market, not Faropoint's own closings. Source: Faropoint Research, *Market Pulse H1 2026*, House View — Gateway Markets.

Gateway vs. Value: two markets, two theses

Faropoint House View — Northeast & Mid-Atlantic markets, H1 2026 (20–100K SF)

MARKET	FAROS DEALS	FAROS VOLUME	IN-PLACE CR	UNTRENDED CR	TSY SPREAD	VACANCY	LTM RENT GR.	EXP. 2-YR GR.	HOUSE VIEW
Northern New Jersey	141	\$1,573M	6.3%	7.2%	+185 bps	5.9%	-2.3%	+2.62%	Over-weight
Philadelphia	90	\$721M	6.2%	7.4%	+182 bps	4.6%	+7.8%	+2.88%	Under-weight

Northern New Jersey (Gateway) is Over-weight on pricing despite softer rents. Philadelphia (Value) is Under-weight despite the stronger rent print — its leasing spreads compressed sharply as outsized COVID-era gains normalize. Source: Faropoint Research, *Market Pulse H1 2026*.

Faropoint's New Jersey acquisition footprint, 2026 YTD

TOTAL DEPLOYED
\$65.5M

TRANSACTIONS
5

BUILDINGS ACQUIRED
5

AVG. DEAL SIZE
\$13.1M

AVG. BUILDING SIZE
~60,000 SF

No. 1 buyer in the market by deal count. Across 51 tracked NJ industrial, land and IOS deals in 2026 YTD, Faropoint led every buyer with 5 deals (9.8% of all deals; 19.2% of industrial-only). By dollar volume it ranks #11 (\$65.5M, 3.2%) — a high-frequency, smaller-check strategy, not one built around trophy deals like Goodman's \$360.0M Anheuser-Busch land buy.

NJ industrial only — Fund-level and other Mid-Atlantic totals unavailable this session.

The thread. The port drives regional industrial demand — shallow bay captures a disproportionate, structurally protected share of it — and Faropoint holds its highest Northeast conviction there, backed by a 2026 record as the market's No. 1 buyer by deal count.